



Confidential Information Memorandum

Skyline Design

Disclaimer and Notice

Confidential and Private Information

Legal Notice: Read this first before viewing this document

The purpose of this Confidential Information Memorandum (the "Memorandum") is to acquaint prospective purchasers with Skyline Design (the "Company"). Skyline Design is seeking to sell substantially all of its business and related assets. The owners are pursuing this transaction as part of their retirement planning.

This Memorandum has been prepared by Watercress Capital on behalf of the Company solely for the purpose of evaluating a potential acquisition. Access to this Memorandum is subject to a fully executed Confidentiality Agreement, and all information contained herein is confidential and proprietary.

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Neither the Company nor Watercress Capital shall have any liability resulting from the use of or reliance upon this Memorandum. All inquiries and requests for additional information should be directed to Watercress Capital on behalf of Skyline Design.

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Fort Mill, SC 29708

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Executive Summary

Summary

Company Overview

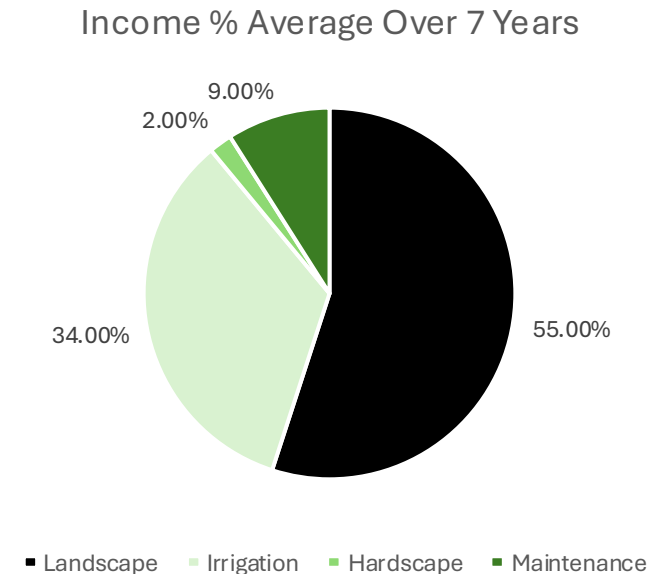
Executive Summary

Skyline Design & Landscape ("Skyline" or the "Company") is a full-service landscaping and outdoor construction company headquartered in Fort Mill, South Carolina, serving the greater Charlotte metropolitan area. Founded in 2008, Skyline has built a strong reputation for delivering high-quality landscaping, irrigation, hardscaping, and maintenance services to a diversified customer base of commercial and high-end residential clients. While the Company serves both end markets, it maintains a strategic focus on commercial projects.

The Company benefits from a diversified revenue mix across its core service offerings and has established relationships with 119 different customers. Skyline's experienced management team brings decades of industry expertise spanning operations, landscape design, irrigation, and turf management, supporting the Company's continued growth and strong customer retention. Supported by a workforce of 37 employees, Skyline possesses the operational scale and infrastructure necessary to efficiently execute projects of varying size and complexity. Skyline is fully licensed and certified in both North Carolina and South Carolina, enabling the Company to service a broad range of residential and commercial projects while maintaining high standards of quality, safety, and regulatory compliance.

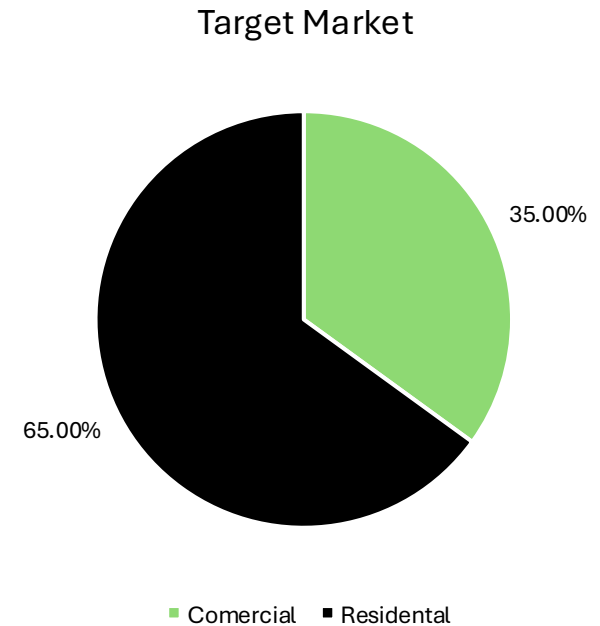
Company Overview

Skyline Design & Landscape is a service supplier to commercial and high-end residential clients. The company's income is generated 55% through landscape, 34% through irrigation, 2% through hardscape, and 9% through hardscape on average over the last 7 years. Skyline Design & Landscape is a Fort Mill, South Carolina-based company primarily serving the greater Charlotte area.



Specialization

Skyline Design & Landscape is a full-service landscaping and construction company that specializes in landscaping, irrigation, hardscaping, and maintenance of outdoor spaces for both residential and commercial clients. The company's customer base is approximately 35% commercial clients, including office parks, retail storefronts, and multi-family housing complexes, and 65% high-end residential clients. While they serve both markets, their primary focus is on commercial projects.



About the Company

A Skyline Design & Landscape was founded in 2008 by a team with over 30 years of combined landscaping experience in the Carolinas and beyond. The company grew out of a group of professionals who had worked together for many years before formally creating Skyline, building a strong reputation for reliability and high-quality work across both commercial and residential projects.

The leadership team includes Charlie Simmons, who began his landscaping career in 1983 and has managed large field teams and multi-million-dollar projects; Tina Simmons, who transitioned from accounting into landscaping and specializes in irrigation, plant knowledge, and landscape design; and Richard Shinholt, an expert in turf and plant management with extensive experience in golf course maintenance and licensed expertise in pesticides and landscape practices. Together, they bring a mix of field experience, technical knowledge, and business management skills.

Skyline is also fully licensed and certified in North Carolina and South Carolina, including landscape contracting, irrigation, pesticide application, and participation in state and municipal contractor programs, reflecting their ability to handle both residential and large-scale commercial landscape projects.

Industry Overview

Service Summary

Credentials

Employee Info

Services Summary

Skyline Design & Landscape is known for its 4 main services of landscaping, hardscaping, irrigation, and maintenance.

Service



Landscaping



Hardscaping



Irrigation



Maintenance

Description

They provide landscaping services including tree and shrub installation, sod, seeding, mulch, pine needles, landscape lighting, and drainage.

They provide hardscape services including patios, fire pits, retaining walls, and walkways.

They provide irrigation services including traditional installation, 2-wire installation, irrigation repairs, smart technology upgrades, and technical assistance.

They provide maintenance services including mowing, weed eating, edging, blowing, pruning, fertilization, irrigation repairs and maintenance, and landscape enhancements.

Our Credentials

Skyline Design & Landscape maintains the licenses and certifications required to perform commercial and residential landscape construction, irrigation, and maintenance services throughout North Carolina and South Carolina. These credentials demonstrate the company's commitment to safety, regulatory compliance, and high-quality workmanship while allowing Skyline to compete for both public and private sector projects.

Licenses & Certifications

- North Carolina Landscape Licensed Contractor
- North Carolina Irrigation Licensed Contractor
- North Carolina Pesticide License
- South Carolina Pesticide License

Government & Commercial Certifications

- HUB Certified – North Carolina
- DBE Certified – North Carolina Department of Transportation (NCDOT)
- SBE Certified – North Carolina Department of Transportation (NCDOT)
- SBE Certified – City of Charlotte (Vendor #19378)

Employee Headcount

Management Team Breakdown (2025)

Position	Number
Managing Member	1
Production Manager	1
Maintenance Manager	1
Equipment Manager	1
Office Manager	1
Estimator	1
Total Management	6

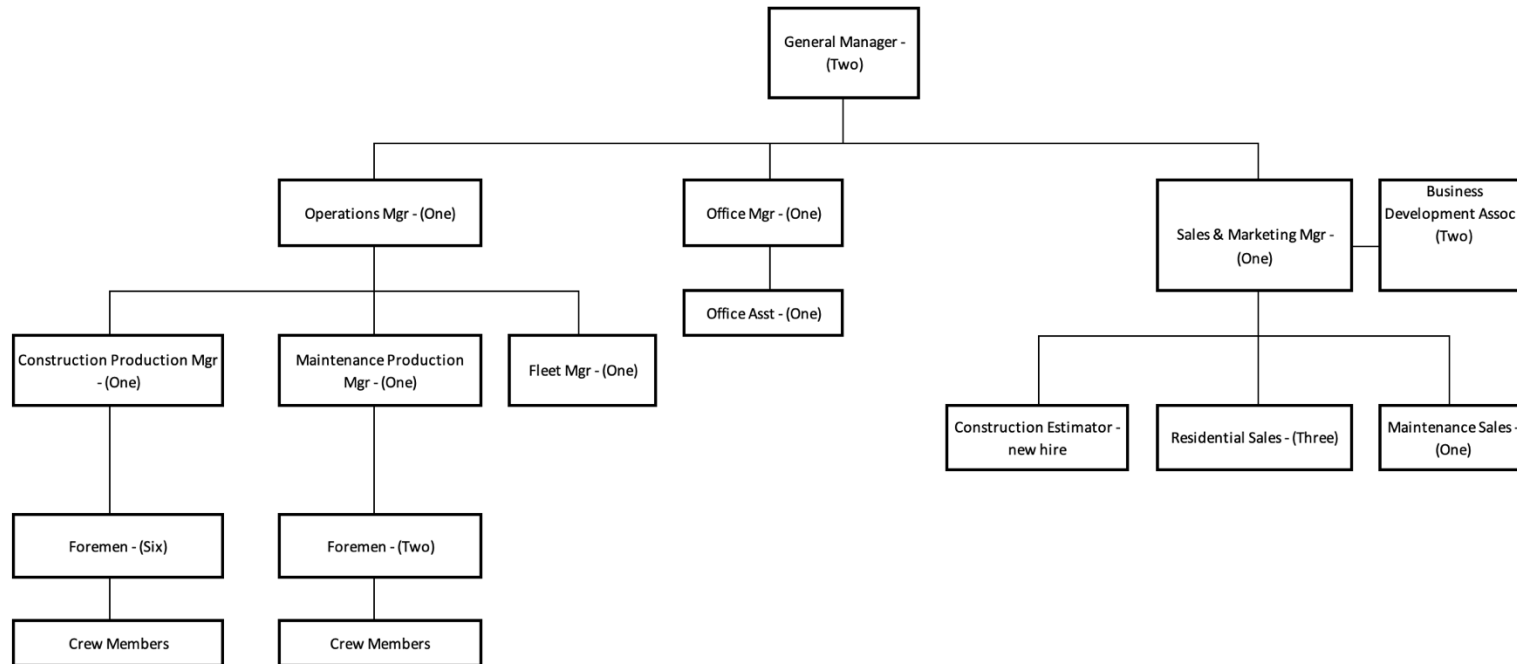
Total Operations/Employee Team Breakdown (2025)

Position	Number
Foremen	8
Laborers	18
Driver/Laborers	4
Spray Technician/Assistant Maintenance Manager	1
Total Operations Employees	31

Skyline Design & Landscape employs approximately 37 employees, consisting of 6 management personnel and 31 field employees. The management team oversees daily operations, estimating, production, maintenance, equipment, and administrative functions, while field operations are supported by experienced foremen, laborers, drivers, and maintenance technicians.

Management and Employees

The company's workforce is structured to efficiently complete both commercial and high-end residential projects. Multiple foremen supervise field crews to ensure projects are completed safely, on schedule, and according to client specifications. This organizational structure allows Skyline to manage multiple landscape installation, irrigation, hardscape, and maintenance projects simultaneously while maintaining quality workmanship and customer satisfaction.



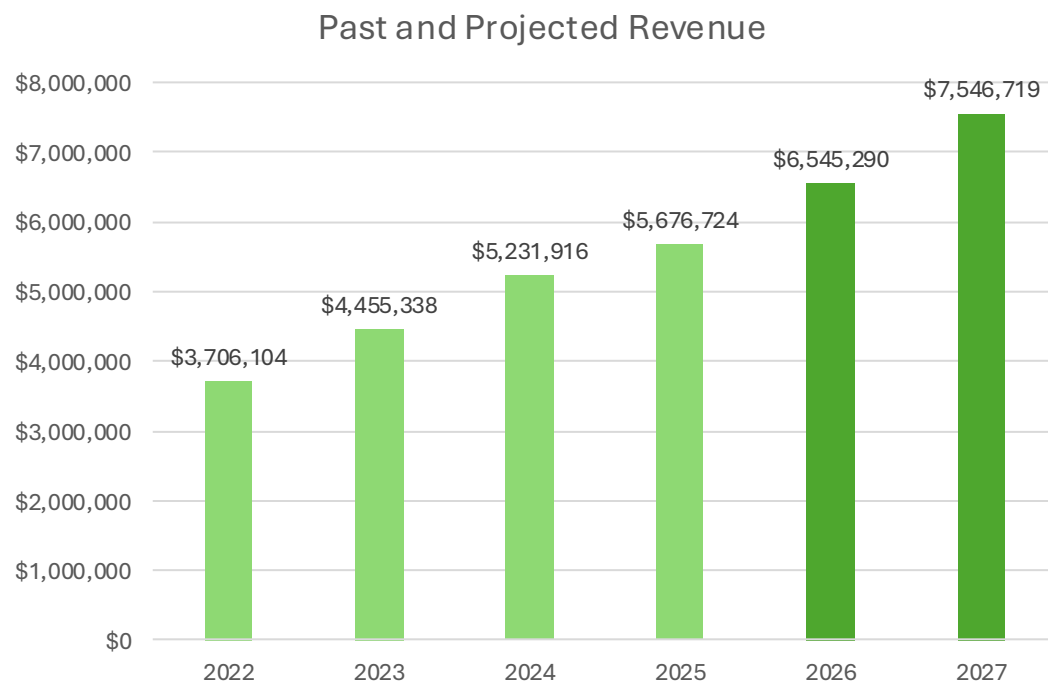
Financials and Projected Data

Revenue and EBITDA

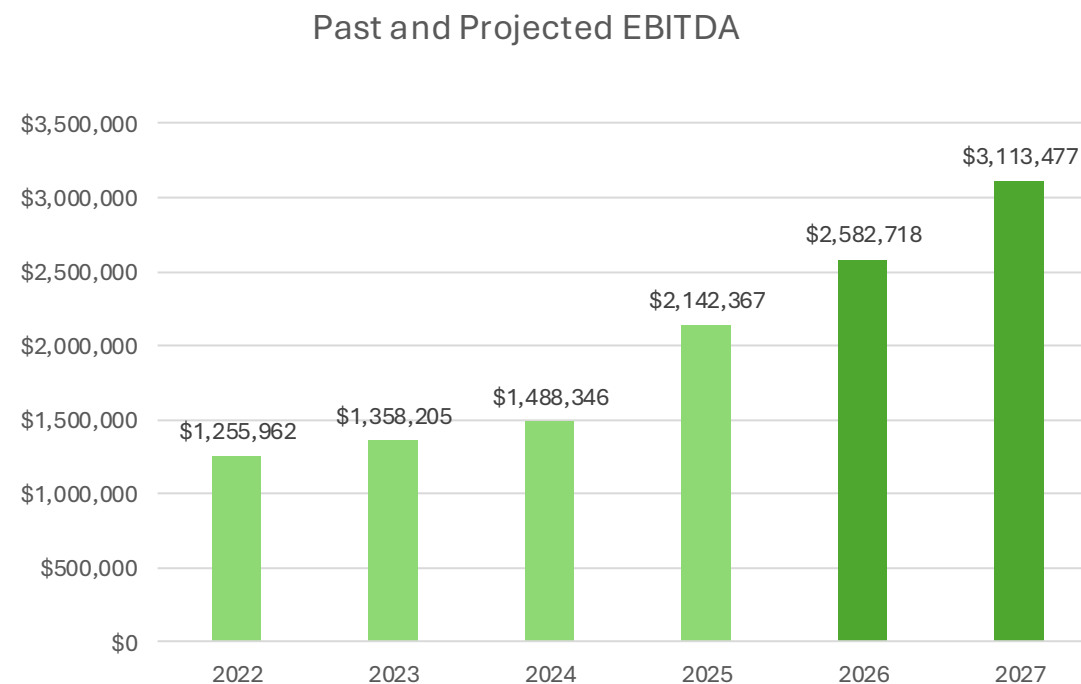
Gross Profit

Past and Projected Revenue and EBITDA

For the projected years of 2026 and 2027, we used the average growth rate over the prior 7 years of 15.3%



For the projected years of 2026 and 2027, we used the average growth rate over the prior 7 years of 20.55%



Gross Profit, COGS, and Margin Trend (Historical & Projected)

- Gross profit has increased from \$1.9M in 2022 to \$4.0M in 2027, driven by sustained revenue growth and improving unit economics. There was a Compound Annual Growth Rate of 15% for each of the projected years.
- Gross margin declined from ~50% in 2022 to a low of ~44% in 2024.
- From 2025 onward, the business experiences a meaningful structural margin expansion, with gross margins increasing to ~52–53%.
- This higher margin profile is assumed to stabilize through 2027, reflecting a normalized cost structure, improved pricing discipline, and operating efficiencies at scale.
- COGS growth stabilizes relative to revenue, indicating improved cost absorption and stronger gross profit conversion.

Year	Revenue	COGS	Gross Profit	Gross Margin
2022	3,706,104	1,841,277.43	1,864,826.38	50.3%
2023	4,455,338	2,403,915.70	2,051,422.59	46.1%
2024	5,231,916	2,912,970.29	2,318,945.30	44.3%
2025	5,676,724	2,687,311.24	2,989,412.41	52.6%
2026*	6,545,290	3,107,467.00	3,437,823.27	52.5%
2027*	7,546,719	3,593,222.24	3,953,496.76	52.4%

*Projected

Customer Concentration Overview

Key Metrics		Top Customers and Revenue		
Metric	Value	Customer	Revenue	% of Revenue
Total Revenue	\$10,908,639	Client 1	\$1,999,773	18.3%
Top 5 Customers	62.6% of total revenue	Client 2	\$1,925,562	17.6%
Top 10 Customers	78.9% of total revenue	Client 3	\$1,472,549	13.5%
		Client 4	\$824,251	7.6%
		Client 5	\$611,196	5.6%
		Top 5 Total	\$6,833,331	62.6%

The Company's customer base is relatively concentrated, with the top five customers accounting for approximately 63% of total revenue and the top ten customers representing approximately 79% of revenue.

Customer	2024 Revenue	2025 Revenue	Growth
Client 1	\$910k	\$1.09M	+20%
Client 2	\$899k	\$1.03M	+15%

Total Quarterly Revenue

Quarter	Active Customers	Quarter	Total Revenue
Q1 2024	42	Q1 2024	\$1,098,016
Q2 2024	49	Q2 2024	\$1,487,217
Q3 2024	49	Q3 2024	\$1,507,421
Q4 2024	55	Q4 2024	\$1,553,829
Q1 2025	48	Q1 2025	\$1,342,598
Q2 2025	50	Q2 2025	\$1,737,243
Q3 2025	49	Q3 2025	\$986,898
Q4 2025	66	Q4 2025	\$1,195,417
119 Total Different Clients		Total	\$10,908,639

Balance Sheet 2025

Skyline Design & Landscape Balance Sheet		December 31, 2025
Assets		
Current Assets		
Cash and Cash Equivalents		234,722.84
Accounts Receivable		513,421.59
Other Current Assets		149,334.01
Total Current Assets		897,478.44
Fixed Assets (Net)		111,883.24
Total Assets		\$1,009,361.68
Liabilities & Equity		
Liabilities		
Current Liabilities		
Accounts Payable		170,303.77
Credit Cards Payable		33,662.91
Other Current Liabilities		22,219.78
Total Current Liabilities		226,186.46
Long Term Liabilities		
SBA Loan		456,982.12
Equipment Loans		5,427.44
Total Long Term Liabilities		462,409.56
Total Liabilities		688,596.02
Equity		
Additional Paid in Capital		275,513.11
Owner's Distributions		(65,450.00)
Retained Earnings		208,901.12
Net Income		(98,198.57)
Total Equity		320,765.66
Total Liabilities & Equity		\$1,009,361.68

Asset List Explained

Asset Category	Quantity	Category	Estimated Market Value
Office Equipment	3	Office Equipment	\$8,300
Job Equipment	42	Job Equipment	\$304,980
Trucks & Service Vehicles	15	Trucks	\$207,500
Total Assets Listed	60	Total Estimated Market Value	\$520,780

The Company owns and operates a comprehensive fleet of vehicles and specialized landscaping equipment that supports both installation and recurring maintenance operations. Rather than relying on equipment rentals, management has invested in an owned asset base that enables efficient project execution and operational flexibility.

The Company has developed a substantial equipment base through continued investment over time. Management estimates the current market value of the Company's owned assets at approximately \$520,780, providing buyers with a well-established operational platform.

Repairs and Expected Payments

Vehicle & Equipment Repairs

Capital Expenditures

Vendor Agreements

Vehicle and Equipment Repairs

Category	2025 Total	Primary Repairs
Vehicle Operating Expenses	\$50,459	Primarily major engine, transmission, axle, injector, and drivetrain repairs across service trucks.
Equipment Operating Expenses	\$53,390	Primarily repairs to the Dingo, mini excavator, trencher, water trailer, and related equipment.
Combined Total	\$103,850	Reflects ongoing maintenance required to support field operations.

During 2025, the Company invested approximately \$104,000 in maintaining its vehicle fleet and operating equipment. These expenditures reflect both routine maintenance and major repairs necessary to maintain reliable operations. Given the Company's reliance on trucks and specialized landscaping equipment, including several long-tenured assets that continue to support daily operations, buyers should anticipate recurring annual maintenance expenditures in this range as part of normal operations.



Planned Capital Expenditures

Year	Planned Capital Expenditures	Total CapEx
2026	Truck crew, Dingo, Skidsteer, Trailer	\$98,000
2027	Truck crew, Riding mower, Two walk-behind mowers, Trailer with water tank	\$55,000



Vendor Agreements

The Company has established long-standing relationships with a diversified network of suppliers across all major purchasing categories. Maintaining multiple preferred vendors for each product category reduces supply chain risk, promotes competitive pricing, and ensures consistent material availability during peak operating seasons. No single supplier is critical to the Company's operations.

Vendor and Supply Relationships

Category

Trees

Shrubs

Soil, Mulch & Rock

Irrigation

Annuals

Sod

Seed & Fertilizer

Equipment Rental

Preferred Vendors

Southeastern Growers, Eagle Creek, Dale Taylor, McHutchinson

Baucoms, Lathams, Panoramic, Pender, Green Biz

Hensons, McCollum, Sagamore

Superior, Simmons, Central

Kings

Super Sod

Superior, Super Sod, Green Resources

Sunbelt, United

Vendor Agreements Continued

Key Operating Expenses

Agreement	Description	Term
Comporium	Internet, landlines (3), and fax services	36-month contract (signed May 2023)
Sharp Copier	Copier, scanner, and fax lease	60-month lease (signed September 2021)
Property Lease	Operating facility	Month-to-month
C&M Leasing	Secured storage pod	Month-to-month
South Central Carolinas	Dumpster services	Month-to-month
AT&T	Mobile phone services	Month-to-month
Business Coach	Coaching services	Month-to-month
Blue Line Technologies	Managed IT services	Month-to-month

Marketing Trends

Marketing Strategies

Long Term Growth

Marketing Strategies

The Company maintains an active marketing strategy focused on residential customers through digital advertising on Facebook and Google, complemented by targeted direct mail campaigns. These efforts are designed to generate new customer leads and support the growth of recurring maintenance agreements.

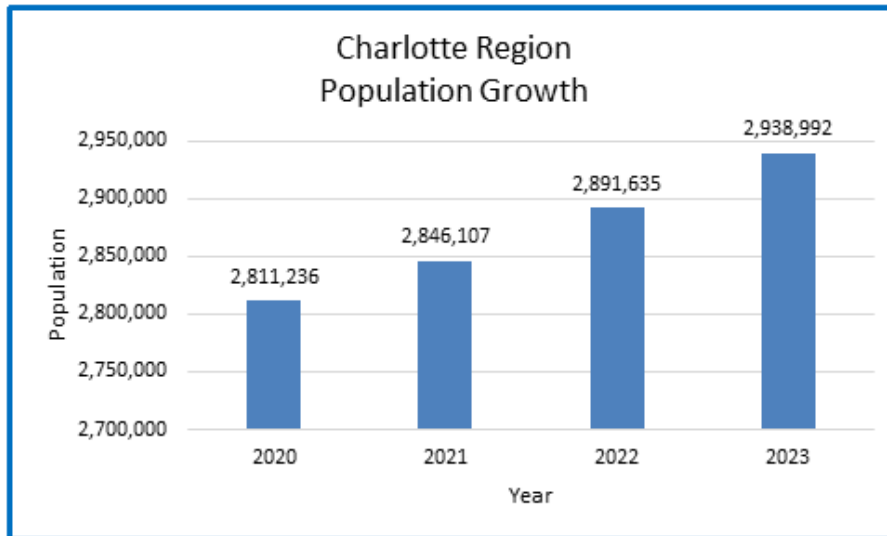
Commercial business is generated primarily through long-standing referral relationships and partnerships with landlords and property owners managing multiple properties. The Company has not employed a dedicated commercial salesperson for approximately seven years, relying instead on its established reputation and referral network to secure commercial accounts.

Marketing initiatives are primarily directed toward the residential market, where management sees the greatest opportunity to convert one-time service customers into recurring, year-round maintenance contract clients. This strategy supports customer retention, recurring revenue, and long-term business stability. The Company does not currently maintain a dedicated commercial sales representative.



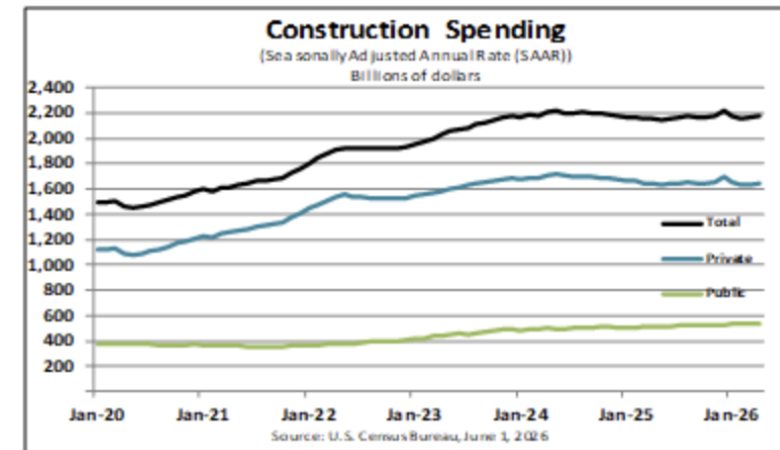
Favorable End Market Trends Support Long Term Growth

Continued population growth and in-migration throughout North and South Carolina are expected to drive sustained demand for residential and commercial landscaping services. Strong commercial and multifamily construction activity in the Charlotte metropolitan area creates attractive opportunities for landscape installation, irrigation, and ongoing maintenance services. Although countrywide growth has slowed, Charlotte's population is still growing in stark comparison. Every county in the metro area showed positive growth except only one county which remained unchanged.



Rapid population growth across the Charlotte metropolitan area continues to support demand for residential and commercial landscape services.

Commercial and infrastructure construction spending in the U.S. continues to benefit from long-term investment trends, supporting demand for landscape installation, irrigation, and maintenance services associated with new developments.



Continued investment in commercial and multifamily construction provides a favorable demand environment for full-service landscape providers.

<https://www.census.gov/construction/c30/current/index.html> <https://ui.charlotte.edu/2026/05/13/what-the-2025-census-tells-us-about-charlottes-changing-population>